

Fortis Energy Growth Capital Screening Memo

A project-level and platform-level investment assessment based on publicly available data

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Methodological note: This is a screening-level investment case based on publicly available information. It is not a full valuation or due diligence exercise. The Tokça benchmark is used to test the unit economics of the type of solar projects Fortis can repeatedly develop, finance and operate; it is not used as a direct corporate valuation of Fortis Energy.

1. Executive Summary

This case study evaluates whether Fortis Energy represents an attractive growth-capital opportunity in a development and investment-banking context. The analysis combines project-level solar economics, Türkiye's renewable energy market outlook, and Fortis Energy's company-level platform characteristics.

Investment recommendation: conditionally positive. Fortis Energy appears to be a credible renewable platform with execution capacity, EPC experience, owned renewable assets, and a sizeable development pipeline across Türkiye and Central and Eastern Europe. The company should be evaluated as a scalable developer/IPP platform rather than merely as a single solar asset owner.¹

At the project level, Fortis Energy's Tokça Solar Power Plant provides a useful benchmark. The project has a 6.9 MWp installed capacity, an expected annual generation of over 12 GWh, and an investment cost of approximately TRY 167.1 million. These figures imply CAPEX of roughly TRY 24.2 million/MWp, specific production of approximately 1,738 MWh/MWp/year, and a capacity factor of about 19.8%.^{2,3}

Under a base-case 2025 average PTF assumption of TRY 2,619.81/MWh, the representative project generates around TRY 31.4 million in first-year revenue, TRY 28.1 million in first-year EBITDA, a simple payback period of 5.9 years, and an unlevered project IRR of approximately 15.4%. However, the return profile weakens materially under lower merchant electricity prices and improves substantially under self-consumption, avoided-cost or contracted-offtake structures.⁴

The main investment implication is that Fortis is attractive if new growth capital is directed toward financeable projects with visible offtake quality, municipal or C&I demand, self-consumption economics, or storage-supported revenue resilience. The recommended approach is phased capital deployment tied to project-level milestones such as permit completion, grid connection approval, offtake agreement execution, financial close and construction start.

2. Sector & Market: Türkiye Solar Energy Investment Context

Türkiye's solar energy market has entered a rapid-scaling phase, supported by energy-security priorities, rising electricity demand, distributed generation, and policy-driven renewable-energy targets. For a growth capital investor, this creates a favorable backdrop for renewable platforms capable of originating, developing, financing, and operating solar projects at scale.

Türkiye's electricity consumption reached 360.9 TWh in 2025, while electricity generation reached 362.9 TWh. Solar accounted for 10.5% of electricity generation in 2025. By the end of February 2026, Türkiye's total installed power capacity reached 124,320 MW, with solar representing 21% of installed capacity.⁵

The growth in installed solar capacity has been particularly strong. Türkiye's solar capacity reached 25,827 MW by the end of January 2026, up from 40.2 MW in 2014. Recent sector reporting based on TEİAŞ data indicates that Türkiye added approximately 4.7 GW of solar capacity in 2025, with much of the growth driven by unlicensed self-consumption projects in the commercial and industrial segment.^{6,7}

Policy support further strengthens the sector backdrop. Türkiye's National Energy Plan targets a significant increase in solar capacity, with the World Bank noting the objective to expand solar capacity from 9.5 GW in 2022 to 52.9 GW by 2035, alongside 7.5 GW of battery storage. In 2024, the World Bank, the Government of Türkiye, TKYB, and TSKB agreed on a USD 1 billion program to support distributed solar and battery storage investments.⁸

Sector implication: Türkiye's solar market provides a supportive growth backdrop for Fortis Energy, but the strongest investment case is not generic solar exposure. The most attractive case is scaling solar projects with visible offtake quality, self-consumption economics or storage-supported revenue resilience.

3. Project Economics: Representative Solar Project Benchmark

This section evaluates the economics of a representative solar project using Fortis Energy's Tokça Solar Power Plant as the main benchmark. The project was selected because it provides publicly available project-level data on installed capacity, expected annual production, and investment cost, allowing for a transparent screening-level analysis of project economics.

Fortis Energy completed and commissioned the Tokça Solar Power Plant in Çivril, Denizli, with an installed capacity of 6.9 MWp / 6,906 kWp. The project is expected to generate over 12 GWh of clean electricity annually and was developed under an EPC contract with Denizli Metropolitan Municipality to support municipal electricity demand. The project's investment cost was approximately TRY 167.1 million, implying capital expenditure of around TRY 24.2 million per MWp.^{2,3}

Input	Assumption	Source / Logic
Installed capacity	6.9 MWp	Fortis Tokça GES project data
Annual generation	12 GWh	Fortis Tokça GES project data
Total CAPEX	TRY 167.1m	Fortis / Denizli project data
CAPEX per MWp	TRY 24.2m/MWp	Derived from CAPEX / installed capacity
Specific production	1,738 MWh/MWp/year	Derived from annual generation / capacity
Capacity factor	19.8%	Annual generation / capacity / 8,760 hours
Base electricity price	TRY 2,619.81/MWh	2025 average PTF
Downside electricity price	TRY 2,078.20/MWh	February 2026 average PTF
YEKDEM solar reference	TRY 2,450.6/MWh	December 2025 solar YEKDEM price
Self-consumption upside	TRY 5,000/MWh	Karabıyıklı GES savings proxy
O&M cost	2% of CAPEX/year	Screening-level assumption
Degradation	0.5% per year	NREL PV degradation benchmark
Model horizon	20 years	Conservative economic life assumption

EPIAŞ's 2025 Annual Report reports an average 2025 PTF of TRY 2,619.81/MWh, used as the base merchant electricity price. For downside sensitivity, February 2026 is used as a weak-price reference, with average PTF of TRY 2,078.20/MWh. As a support-mechanism cross-check, the December 2025 YEKDEM price for solar power plants was 245.06 kuruş/kWh, equivalent to TRY 2,450.6/MWh.^{4,9,10}

In the upside case, the model uses a self-consumption/avoided-cost proxy. Fortis Energy's Karabıyıklı Solar Power Plant has 5.98 MWp capacity, expected annual production of 10 million kWh, investment cost of TRY 140 million and expected annual savings of approximately TRY 50 million. This implies an avoided-cost value of around TRY 5/kWh, or TRY 5,000/MWh. Given the absence of detailed O&M data, a simplified O&M assumption of 2% of CAPEX is used for screening-level analysis. A 0.5% annual degradation rate is applied based on NREL's PV degradation benchmark.^{11,12}

Metric	Calculation	Result
Annual generation	12,000 MWh	12 GWh
Base electricity price	TRY 2,619.81/MWh	—
First-year revenue	12,000 × 2,619.81	TRY 31.4m
Annual O&M	2% × TRY 167.1m	TRY 3.3m
First-year EBITDA	Revenue – O&M	TRY 28.1m
Simple payback	CAPEX / EBITDA	5.9 years
Unlevered project IRR	20-year model, 0.5% degradation	15.4%
NPV @ 15%	20-year unlevered cash flow	TRY 3.6m

Scenario	Price assumption	First-year EBITDA	Payback	IRR	NPV @ 15%
Downside merchant	TRY 2,078.20/MWh	TRY 21.6m	7.7 years	10.9%	-TRY 36.0m
YEKDEM reference	TRY 2,450.6/MWh	TRY 26.1m	6.4 years	14.0%	-TRY 8.8m
Base merchant	TRY 2,619.81/MWh	TRY 28.1m	5.9 years	15.4%	TRY 3.6m
Self-consumption / avoided-cost upside	TRY 5,000/MWh	TRY 56.7m	2.9 years	33.3%	TRY 177.7m

The sensitivity analysis shows that price risk dominates project economics. Under a weaker merchant-price scenario, IRR falls to approximately 10.9% and NPV turns negative at a 15% discount rate. Under a self-consumption or avoided-cost structure, however, the economics improve materially, with IRR above 30%.

Project economics assessment: Fortis-type solar projects are economically attractive if growth capital is used to scale projects with strong offtake quality, avoided-cost economics, or partial price protection. If the pipeline is mainly merchant-exposed, the return profile becomes significantly weaker and should be treated more cautiously.

4. Company-Level Investment Case: Fortis Energy as a Scalable Renewable Platform

The company-level investment question is not limited to whether a single solar project is attractive, but whether Fortis Energy represents a scalable renewable platform capable of deploying capital across multiple projects with acceptable execution risk and improving revenue quality.

Fortis Energy is an international renewable energy investor and developer with operations across Türkiye, the Balkans, the Netherlands and broader Central and Eastern Europe. The company's portfolio generates 320+ GWh of clean electricity annually, supported by approximately 200 MWp of installed solar power capacity and 52 MWh of battery energy storage capacity. Fortis also reports a completed project portfolio exceeding 650 MW, consisting of 252 MW of owned assets and more than 400 MW of turnkey EPC experience.¹

Fortis's business model combines independent power production, project development and turnkey EPC execution. This matters for growth capital because renewable investment is highly execution-dependent: value creation depends on securing permits, managing engineering and procurement, controlling construction timelines, commissioning assets successfully and maintaining performance after COD.

The strongest company-level argument is the development pipeline. Fortis reports a development portfolio exceeding 3.5 GW across Central and Eastern Europe, including solar, wind and battery storage projects in Albania, Kosovo, North Macedonia, Serbia and Italy. Fortis's Oslomej project in North Macedonia illustrates the strategic relevance of storage integration: the company is integrating a 62 MW/104 MWh battery energy storage system into its 80 MWp Oslomej Solar Power Plant, with an agreement valued at approximately USD 19.65 million.^{1,13}

Investment factor	Positive signal	Diligence concern
Operating platform	650+ MW completed projects; 252 MW owned assets	Full financial statements and project-level profitability need verification
Business model	IPP + developer + turnkey EPC experience	Execution quality may vary by country and project type
Pipeline	3.5 GW+ disclosed development portfolio	Conversion risk: permits, grid access, offtake and financing
Revenue quality	Municipal/C&I/self-consumption and storage-supported projects can improve economics	Merchant-heavy solar pipeline would weaken risk-adjusted returns
Storage exposure	BESS integration supports revenue resilience and dispatchability	Additional capex, technology and execution risk

Company-level assessment: Fortis appears to be a credible renewable energy platform rather than a single-project sponsor. Its value proposition is supported by an operating portfolio, EPC execution experience, owned assets, cross-border development pipeline and increasing exposure to storage-integrated renewable projects. However, because solar project returns are highly sensitive to electricity prices, the company-level investment thesis depends on the quality of Fortis's near-term pipeline and revenue structures.

5. Investment Decision and Recommendation

Based on the project-level economics, company-level assessment, and Türkiye solar market outlook, the recommendation is to proceed to the next stage of diligence. Fortis Energy should be considered a potentially attractive growth capital candidate if the company can demonstrate that new capital will be directed primarily toward projects with visible offtake quality, self-consumption economics, municipal or C&I-linked demand, or storage-supported revenue resilience.

The investment should not be made unconditionally. The primary risk is merchant price exposure: even technically sound solar assets can become less attractive when electricity prices weaken. A second risk is pipeline conversion: Fortis's large development portfolio is valuable only if a meaningful portion can be permitted, financed, constructed, and connected to the grid within a reasonable timeframe. A third risk is geographic and regulatory complexity, given Fortis's expansion across multiple markets.

Diligence area	Key question	Why it matters
Pipeline quality	What share of the near-term pipeline is contracted, municipal, C&I-linked or self-consumption based?	Determines whether project cash flows are protected from merchant price volatility
Project readiness	Which projects have permits, grid connection, land rights and EPC timelines secured?	Separates executable pipeline from early-stage development optionality
Revenue model	Are future projects exposed to spot PTF, YEKDEM, bilateral contracts or avoided-cost economics?	Directly affects IRR, payback and downside risk
Funding structure	How will growth capital be combined with project debt, sponsor equity or development finance sources?	Determines dilution, leverage, return profile and capital efficiency

The recommended investment approach is phased capital deployment rather than a single unconditional equity injection. Capital should be released against project-level milestones such as permit completion, grid connection approval, offtake agreement execution, financial close, and construction start. This structure would allow the investor to benefit from Fortis's platform growth while reducing exposure to early-stage development and merchant-price risks.

Final investment view: Fortis Energy is a conditionally attractive growth capital opportunity. The company's execution track record, renewable platform scale, and development pipeline support a positive investment view, but the investment case should proceed only if diligence confirms that near-term growth is weighted toward financeable, revenue-protected projects rather than merchant-only solar exposure.

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